

corporation. Ed may end up launching all kinds of brilliant ideas. If he starts a separate division down the road someday for watch repair, it will not affect his clock-rebuilding department. With a corporation, you can have different business activities under one corporate roof.

## Corporate Credit History

Your business gets a corporate tax ID number and does not use your social security number. If your credit history under your social security number is less than great, rebuilding a new credit profile is easier than you think. The corporate credit history uses the business ID number, and the credit score is a totally separate number.

Corporate credit scores operate the same way, but have a different number system. A score of 80 is considered excellent – equivalent to a personal credit score of 800. The same responsible tactics apply – pay on time, do not use all your available credit, etc. There are several corporate credit rating agencies. Dun & Bradstreet is probably the most well known.

## Getting Started

A new corporation makes a new credit history by getting credit in its name. Sometimes banks are hesitant to loan money to a brand new corporation. Just like with an individual, the bank wants to see the track record of your paying history. If you are just getting started, there is no track record yet.

There are credit-builder companies available on the internet that will provide you the contact information of businesses who will give you credit right away, so you can quickly establish credit in the name of your new business. Perhaps you need office supplies, a business credit card, or some other service; this kind of credit builder can hook you up with companies who will fulfill these basic business needs while allowing you to build a credit history. All you need is that first opportunity to build credit and the rest takes off from there.

## Dream Big

Maybe the idea of having your own corporation never entered your mind until reading it here. Let the idea settle in. Don't automatically